DEEP DIVE

USGC Tanker Report (23 Sep 2026)

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A diesel export ban would hit TC14 immediately and TD25 only weeks later.

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President Trump endorsed a **US diesel export ban** on Tuesday, a reversal for an administration that had previously resisted restricting fuel exports, telling reporters “I’ve called for it. I’ve called for it within my people” and answering “Fast, one way or the other” when asked on timing.

Treasury Secretary Bessent said officials are examining "whether it's feasible in terms of the overall refining capacity, and whether a full or a partial ban would work", with emergency powers one route and legislation the other. For USGC tankers this is **not one trade but two, splitting across clean and dirty freight, and timelines**.

Start with the clean side, because **a ban is straightforwardly and promptly bearish**. No exports means no cargo demand for MRs. The entire USGC MR demand case right now is the October diesel arb complex, with **Houston to Rotterdam open at +$30.25/mt, Barcelona at +$37.00/mt**, Buenos Aires at +$30.35 cpg and Santos at +$1.40 cpg for October loaders and at +$6.75 cpg for November loaders. Take those away and there are no incremental demand outlets. **All October USGC loading gasoline arbs are shut** with NWE pricing materially better across the board.

The fundamentals were already softening before the headlines this week. **USGC MR vessel supply is long at 22 ships in the seven-day ahead window against a 90-day moving average of 19**. Incremental spot demand right now is negative due to the September loading diesel arbs being shut for the past ten days. The Freight Supply and Demand (FSD) model **forecasts spot to ease from WS 231 to WS 202** into the 28 September to 7 October load window. The demand outlook improves into the first decade of October.

Fixture activity over the past three days has been Americas focused, with Murmure taken USGC to Brazil at WS 275, Stena Important to the Caribbean at $0.65m, Nord Vulcan to West Coast Central America at $2.45m and Lucky Chemist to the US West Coast at $2.9m. The **muted transatlantic TC14 enquiry** follows the recent negative September loading diesel margins.

TC14 paper has already given up most of its premium. Yesterday November traded at WS 283.5, November and December together at WS 290, and Q4 at WS 280 firming to WS 285, which now leaves **October at WS 244** only mildly overvalued against spot rather than the wide WS 75 premium it carried this past week. Expect October paper to weaken toward spot at WS 232 with a **near-term floor of WS 202**, the FSD forecast level. If a US diesel export ban actually happens, there is a clear precedent for much worse price action, since diesel arbs were materially shut through the first half of August and **TC14 printed WS 150 on 11 August**. That level gets retested quickly.

The dirty tanker impact of a diesel export ban is **bullish for USGC DPP, but the timeline is longer**. The WTI Midland crude RBI into NWE sits at -$2.75/bbl, so US crude remains competitive into Europe. The WTI/Brent spread should widen as WTI works to price itself into more global destinations. Even if the WTI/Brent spread widened materially tomorrow, the impact on TD25 would initially be muted, because **USGC Aframax vessel supply is long at 30 ships in the 14-day ahead window against a 90-day moving average of 21**, nine vessels above average and more than enough tonnage to absorb any first wave of incremental crude demand. There are 6 open VLCCs versus an average of 5 and 9 open Suezmaxes versus an average of 6, so tonnage supply length is an issue across segments in the USGC.

The timing of the TC14 and TD25 trades is important. Diesel exports stop the day a ban takes effect, so **the MR demand loss is instant**, but expect a rush of diesel cargo fixtures in the days leading up to the ban. So expect a short-lived rally in physical spot alongside a sell-off in paper.

The incremental crude and DPP demand arrives only after refiners cut runs, WTI/Brent widens and fresh crude cargoes work their way into the programme. **That lag would likely be weeks, so the clean market takes a hit long before the dirty market sees the benefit.** Build your TC14 and TD25 positions accordingly.

Aframax fixing rates are nonetheless already at the top of the recent spot range, with **Seascout fully fixed USGC to UK Continent at WS 500** and Orchid Spirit on subs on the same routing at WS 495, both for early October laycans. **TD25 spot is at WS 498 while October paper traded at WS 575** and firmed to WS 585 yesterday, an 87-point spread, with November and December at WS 455. The October paper market is already pricing further gains; expect spot TD25 to slowly move higher towards October paper.

There are growing rumours of MR owners who have been contemplating whether or not to dirty up and have been looking at a DPP earnings premium for months without quite having the conviction to pull the trigger. **A diesel export ban removes the steady USGC CPP tanker employment** that was the reason for waiting. Tank cleaning is slow and expensive to reverse, so every MR that switches leaves the clean tanker pool for months rather than weeks, which **tightens CPP structurally in the medium-term** while adding tonnage only at the margin of the dirty Aframax trade.

Midterm US elections take place on 3 November. The Trump administration, if they enact a ban, would enact it soon so that the American public sees the impact before voting at the midterms. So, **cut some of your October TC14 paper length** as October paper would be the most impacted. Farther-flung MR impact of this would be increased demand for WCI and Far East diesel cargoes as Europe would price to pull barrels west. Spot TC12 and TC11 would rally from incremental demand and increased tonne-mile from the long-haul voyages.

For TD25, the trade can be expressed further down the curve, likely November and December paper. Spot may well get slowly dragged toward October paper on ban chatter alone, but **30 open Aframaxes will cap how far and fast it runs** before the crude flows actually change.

The caveats here are material: **nothing is formally decided**, Bessent has the feasibility study open and Senate Republicans are split, and analysts briefing the White House will likely argue a ban would raise global diesel prices rather than lower US ones, which could get the policy shelved. The potential midterm election benefits of an enacted diesel ban headline may be too much for Trump to pass up though given the “America First” rhetoric.

About the Author

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Michael Ryan, our Freight Commodity Owner at Sparta, brings over a decade of experience with Trafigura in the energy sector managing risk across products and regions before becoming Head of Risk for subsidiary Puma Energy. Michael then joined the Trafigura commercial team trading freight while successfully growing the physical fleet through strategic dealmaking.

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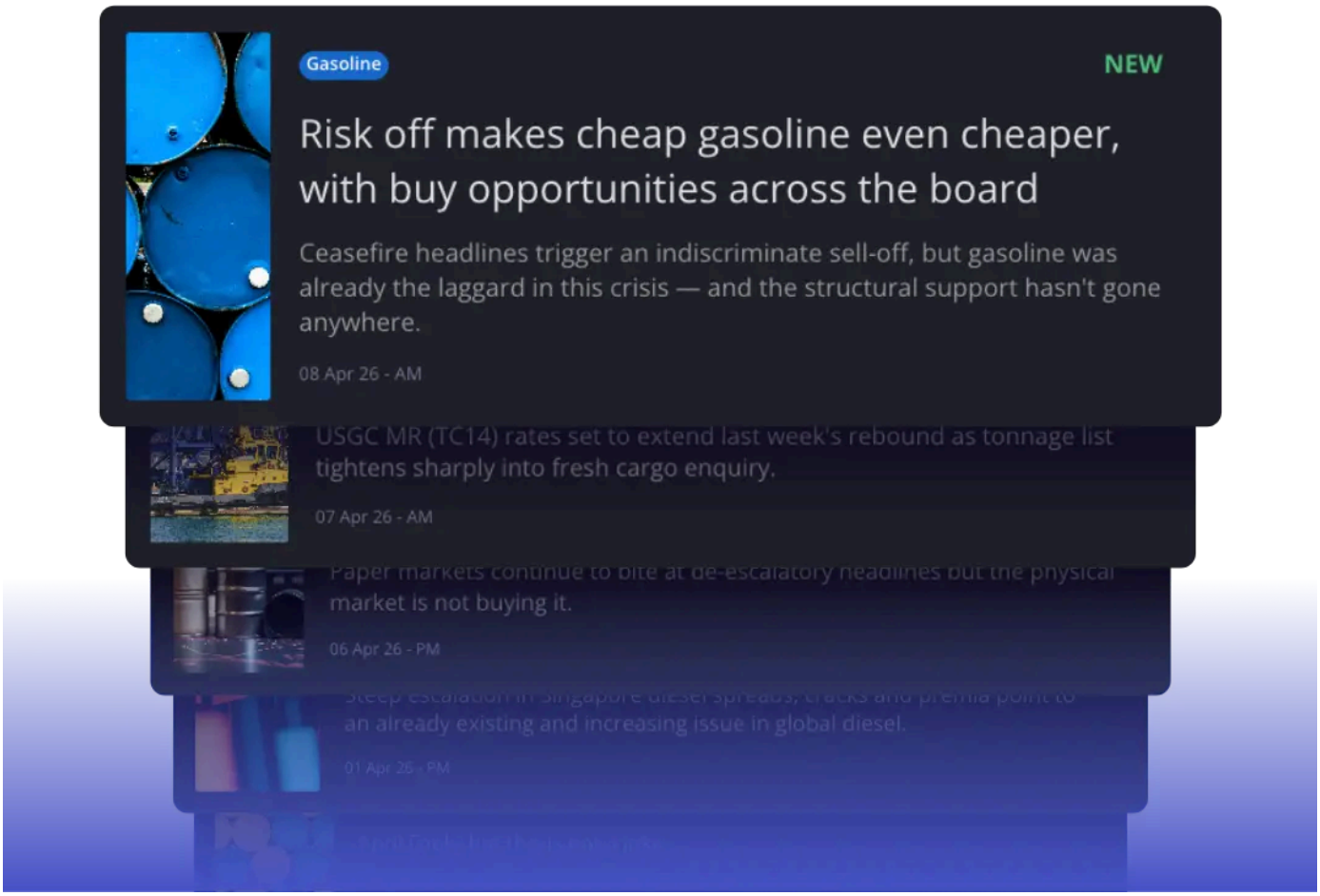
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